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Should Your Next CEO Come from Your Board?

In some situations,
it's an option well worth
considering.



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When a company gives the CEO job to one of its own board members, people often assume that something must have gone wrong behind the scenes.

Maybe the company is desperately trying to get itself out of a protracted period of tumult. Maybe the previous CEO's departure was unexpected or forced, and only a tried-and-true board member can keep the ship sailing steadily until a permanent replacement can be found. Maybe the CEO's departure was routine and expected, but somehow the succession-planning process just came up short.

Those are all reasonable explanations. During the past 10 years, however, as the complexity of the CEO role has increased, some companies have hired a board member to be their next leader for a different reason: It was the best option.

A growing number of companies are making this choice. From 2018 to 2023, board-to-CEO appointments increased threefold across the S&P 500 and the Russell 3000. During this period 213 incoming CEOs (10% of the total) came from the board, making board director the fourth-most-common pre-CEO role after chief operating officer (32%), divisional CEO (16%), and president (14%). Not only that, but the majority of those 213 CEOs were permanent hires. In fact, the number of board members selected as permanent CEOs, not interim appointments, rose by 88% from 2018 to 2023. Recent high-profile examples include Larry Culp of GE, Carol Tomé of UPS, Richard Dickson of Gap, and Jim Taiclet of Lockheed Martin.

Hiring a CEO from the board is still more of an exception than a rule. But there are compelling reasons to consider the possibility. Most notably, board members often can

effectively adopt both internal and external perspectives. As insiders, they have a valuable feel for the company's culture, history, and strategy; as outsiders, they can more easily challenge the company's existing ways of operating.

But the board-to-CEO transition is a delicate one. Much can go wrong. Fellow directors may not know their colleague as well as they think they do, having worked together in only one context, and may overestimate how well their colleague understands the company's inner workings. When internal candidates are passed over in favor of a board member, they can become demotivated and even quit. If handled without the appropriate care, a board-to-CEO transition can sap morale and destroy enterprise value.

So what's the right way to think about the risks and rewards of selecting a board member as your next CEO? And if you decide to give a director the job, how can you—and the person you choose—maximize your chances of success?

These are questions we've thought deeply about. We've spoken extensively with CEOs who've been hired from boards—and with the boards that hired them. We've also conducted an analysis of the board-to-CEO transitions that took place during the past five years among the S&P 500 and the Russell 3000. In this article, drawing on what we've learned in our client work and research, we'll offer useful guidance for everybody involved—boards that are considering one of their own as a potential CEO, board members who have been



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selected for the top job, and HR leaders who have to manage the many sensitive dynamics involved.

When Does It Make Sense?

As levels of industry and geopolitical disruption rise, three factors have become important predictors of success for incoming CEOs: demonstrated efficacy in a past CEO role, institutional knowledge, and in most cases, relevant industry experience.

Board members often have such qualifications. As one director who took part in a board-to-CEO selection told us, “Yes, the listening tour is still necessary, but the new CEO from the board isn’t learning the industry, company, culture, or context from scratch, and so the first 90 days are much more planful and targeted.”

Most board members tapped as CEOs during the past five years (73%) had prior CEO experience, which was not the case with their departing CEO counterparts (only 38%). Part of this is surely attributable to the unprecedented levels of uncertainty that companies have had to face during this period, which included the Covid-19 pandemic and its aftermath. By leaning on proven leaders, companies were able to bring a sense of security to all stakeholders. But this was more than just for show: We found that board-to-CEO appointees with prior CEO experience were 10% more likely to outperform the market during the past five years than first-time CEOs selected from the board were. Experience matters.

Consider the case of a public company seeking a new leader who had proven CEO and technology experience but who could also help preserve its distinct culture. For that, it turned to a tenured board member who had previously served as the CEO of another public company.

The newly elected CEO started his job clear-eyed about what he did and didn’t know about the company. He was aware of how much he had to learn. Early in his tenure he spent time visibly learning about the business and listening to the employees. That allowed him to shape a shared agenda for improving the company’s strategy and to build deeper connections to its products and culture. He also maintained strong relationships with the outgoing CEO and other retired leaders from the company, who provided critical insights into the firm’s culture and strategy.

When we asked him to reflect on what it was like to be selected from the board as the CEO, he told us it wasn’t all that different from being an external hire. “Coming from the board isn’t radically different from coming from the outside,” he explained, “even though it may be perceived differently. To actually do the job, it’s taken me just as much time to truly learn the company’s business as it did to learn the business at my prior company earlier in my career.”

He added that in his view it could be easy for directors who become CEOs to overestimate how well their board experience has prepared them for the job. “Being a CEO is very different from being a board member,” he said. “The fact that you have been on the board is almost irrelevant once you’re in the role. Being the CEO is a full-contact sport.”

Nevertheless, he believes that his board experience at the company did give him some important advantages: His longtime rapport with the outgoing CEO, relationships with the leadership team, and experience with the rest of the board allowed him to move quickly on tough business decisions, without the distraction of seeking the board’s validation, especially during turbulent times. “When things



IDEA IN BRIEF

THE SITUATION

During the past 10 years, as the CEO role has become more complex, a growing number of companies have hired board members to be their leaders. From 2018 to 2023, board-to-CEO appointments increased threefold across the S&P 500 and the Russell 3000.

THE UPSIDE

Hiring a board member as your CEO should never be the default, but there are compelling reasons to consider it. As insiders, board members have a feel for the company’s culture, history, and strategy; as outsiders, they can more easily challenge the company’s ways of operating.

THE WAY FORWARD

The board-to-CEO transition is a delicate one. Much can go wrong. This article describes when such a transition makes sense and how to orchestrate it successfully—by taking into account board tenure, CEO experience, industry expertise, and organizational dynamics.



SUCCESSION PLANNING

get rocky,” he told us, “I have the benefit of having longer-term relationships.”

When a company has a culture of hiring CEOs from within and therefore feels it may be risky to bring in an outsider, a board member can serve as a compromise. At one of our clients, a publicly listed asset-management firm that has never had an external CEO, there’s a sizable readiness gap between its up-and-coming leaders and the current CEO, who plans to retire in the next four to five years. To bridge it, the firm has begun thinking not only about external candidates but also about possible contenders from the board. “We’ve started gaming different scenarios,” the chief human resources officer told us. “We’re spending more time discussing the profile of board candidates than we normally would and asking if they have many of the elements we need in a future CEO.” In addition, she said, “we’re looking at three open board seats this year as another way to increase our options for the future.”

This approach can be particularly useful when an organization’s departing CEO is a founder who hopes to hire a successor who can sustain the firm’s institutional knowledge and culture. In fact, in our analysis we found that 12% of the incoming board-to-CEO appointees replaced departing founders.

No matter what the previous experience of board-to-CEO appointees is, we have found that the duration of their tenure on the board makes a difference to their performance—no doubt because more time on the board means deeper exposure to the company’s strategy, culture, and key stakeholders. On average, the board-to-CEO appointees in our analysis had spent a little more than four years as a director, and those who took the helm of S&P 500 companies had served even longer: six years, on average. Interestingly, appointees who had spent an extra year on the board (relative to their peers) outperformed the market during the first two years of their CEO tenures.

The case of UPS is instructive. As the company prepared for a CEO succession in 2020, it sought a leader who could bring long-term, transformational thinking to the organization while still honoring its legacy. Historically, UPS had groomed its CEO candidates internally, prioritizing those who had a rich understanding of the company’s complex operations and its loyal, long-tenured workforce. The

outgoing CEO, David Abney, had been with the company for 40 years before becoming CEO, in 2014. His predecessor, Scott Davis, had spent 22 years at the company before becoming CEO, in 2008. However, given the company’s competitive dynamics and profitability challenges and the magnitude of change the next CEO would need to bring about, in 2020 the company ended up selecting a less traditional candidate: Carol Tomé, who had been on the UPS board for 17 years and had been the chief financial officer of the Home Depot for 18. Since her hiring, Tomé has served as a bridge between UPS’s past and future, driving a strategy focused on profitability and efficiency, leveraging technology to increase penetration of the small- and midsize-business market, expanding the company’s healthcare logistics capabilities, and developing a more nuanced view of Amazon as a competitor and a customer. Her efforts have been lauded internally and externally.

Tomé deserves great credit for her successes—but so does the UPS board, which took a series of thoughtful steps to ensure a sound transition. “It takes real effort, arduous work, to do this right,” Bill Johnson, the UPS chairman, told us. “You can’t just look around the boardroom and say, ‘That person can do it.’ That would not be doing right by our shareholders, our employees, and our stakeholders. We wanted the person to go through the full process and know they were the best choice among all the options.”

The UPS board first gave internal candidates the opportunity to go through the CEO assessment process, objectively evaluating their readiness against the company’s future requirements and then investing in each executive’s development. After realizing that internal leaders would need more experience to do well in the top role, the board raised Tomé as a possible candidate. She subsequently recused herself from all succession discussions. The board assessed her using the same process it had used with internal candidates and, despite the directors’ strong conviction about her abilities, also interviewed several external candidates. In the end Tomé emerged as the optimal leader for the mission that lay ahead. For her part, Tomé, who at the time was retired, used the selection process to make sure she was ready for the challenge. “The process was helpful for me,” she told us, “because it made me ask, ‘Do I really want to do this?’”





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Having served on the board for nearly two decades, Tomé already understood the company's strategic levers, culture, and values, which allowed her to concentrate more quickly on setting UPS on a path to lasting and profitable growth. During the next few years, she navigated the pandemic, social and geopolitical issues, labor negotiations, and a dynamic competitive environment with an unwavering customer-first, people-led, innovation-driven approach. And her efforts paid off: UPS achieved its 2021–2023 financial targets one year early.

What Can Go Wrong?

Because board members are known entities, the specific challenges associated with their elevation to the CEO role can be overlooked. In situations where an appointment is intended for the long term (as opposed to being interim), it's critical to be alert to four dangers.

Mistaking board expertise for readiness. “Don't delude yourself that being on the board automatically gives you an advantage,” a CEO who came from the board told us. Simply because you've served on the board doesn't necessarily mean you've developed a nuanced understanding of the business. And even if you have, that doesn't mean you'll perform well as the CEO. It turns out that about 25% of the permanent board-to-CEO appointees that we studied lasted less than a year in their role, and only 53% made it past the two-year mark. The right appointee will have a combination of operating experience, industry knowledge, and a willingness to learn about the business by diving in headfirst and listening to employees.

Competition within the board. It's human nature: When board members realize that they're part of a pool of CEO candidates, some may start jockeying for position. That dynamic can muddle their fundamental role as supportive partners and objective advisers to the company's leaders.

Negative reactions from internal candidates. This, too, is human nature: As we've noted, when internal candidates are passed over in favor of a board member, they can become demoralized and even decide to leave—which can have a ripple effect throughout the organization. It's worth thinking long and hard about the potential repercussions of hiring from the board. As one CEO put it to us, “The costs may outweigh the benefits.”

Decisions clouded by peer pressure. Nobody on the board should take on the CEO role as a favor to fellow directors or to come across as a savior to them. CEOs should take the job because they want it and know that they're the right person to do it. Pressure to take the job is often higher—and easier to succumb to—during a crisis. It's critical to separate flattery from fulfillment. The stakes are too high to act in any other way.

Companies that aren't alert to these dangers can easily get themselves into trouble. That's what happened recently at a public technology company where we were coaching a senior executive: The company made a board-to-CEO selection that did not go well.

The process began when the founder of the company announced he would be stepping down and moving into the executive chairman role to focus on innovation and long-term strategy. At that point the company's board appointed one of its own directors to succeed him. The pick seemed like a sound one: The appointee, who had served on the board a short period of time, was a repeat CEO and CFO with industry expertise. To the other board members, he seemed to be a trusted peer who checked the obvious boxes.

Unfortunately, the board failed to establish how the appointee would work with the founder, who didn't have the same views on product development and innovation and turned out to be unwilling to relinquish decision-making control. Needless to say, that impeded the new CEO's ability to do his job effectively. Within six months of taking the helm, he parted ways with the company, and the founder reassumed the CEO position while remaining executive chairman. News of that change led to a 6% drop in the company's share price. And there were other negative ramifications: The leading internal candidate for the job left soon after the board member was hired, and morale dipped among other high-potential leaders at the organization. At the end of the process the company found itself back at the starting line, in search of a CEO once again.

How Can You Boost Your Odds of Success?

A board-to-CEO transition can be a winning move, but it requires thoughtful effort, not only before but also after the selection of a CEO. It's best to keep four rules in mind.

Plan early and often. When it's time to replace a CEO, give the board enough time to be dynamic, strategic, well-informed, and deliberate. That applies to everything from drawing up candidate lists to envisioning succession scenarios. Early planning helps you avoid hiring from the board out of desperation. For example, at the asset-management firm we discussed earlier, the CHRO will spend the next four



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About the Research

This article draws on ghSmart's proprietary database of more than 27,000 C-suite executives, including more than 2,000 CEOs, and on research on the 2,086 CEO successions across the S&P 500 and Russell 3000 that took place from 2018 to 2023. We focused on 213 successions in which the incoming CEO was previously a board director at the company (and did not simultaneously play another executive role). To identify insights specific to the board-to-CEO transition, we analyzed data points including board tenure prior to CEO appointment, previous CEO experience, CEO tenure, permanent versus interim CEO appointments, stock prices at the start of and two years into the CEO's tenure (if applicable), and index stock prices during the same period. We also analyzed the experiences, roles, and industries of the 213 departing CEOs replaced by board members. In parallel, we interviewed CEOs, board members, and CHROs to test our hypotheses and understand the rationale behind board-to-CEO selections and the factors contributing to successful transitions.

to five years deliberately developing internal CEO candidates, putting them into critical roles, and investing heavily to get them ready—while examining the three new board members' potential to become the next CEO.

Treat board candidates just as you would any other.

Too often, because boards feel awkward about rigorously evaluating their peers, they avoid probing on the most critical issues. That's a mistake. As soon as a director becomes a candidate for the CEO position, that person must be recused from all discussions, just as Tomé was at UPS. In assessing that candidate, you should use the same scorecard that you're using for all the other candidates, internal and external.

Maintain credibility with the executive team and the organization. When boards choose a CEO from their own ranks, it's vital that they communicate proactively with internal candidates, making clear to them why they weren't selected and what the impact will be on their career path at the organization. If possible, you should deliver the news personally to them before the official announcement—and let them know that you're beginning the process of planning the next CEO succession immediately. Emphasizing that you're still grooming internal talent is an excellent way to

reengage high-potential leaders and prevent any future need for emergency succession.

As for the CEO who has been selected from the board, that person must focus intently on gaining buy-in and traction. One such CEO began the process by doing a 100-day listening tour, just as he had done when coming in from the outside to take the CEO role at another company.

Establish clear lanes for the chair and the incoming CEO. The relationship between the director-turned-CEO and the other board members must evolve and change. To smooth the transition, the chair or lead director should play an active role in ensuring a healthy separation between the new CEO and the rest of the board. And new CEOs themselves need to do the same. "You have to be fully present as CEO," one former board member who made the move to the corner office told us. "Don't try to be a quasi board member and a quasi CEO."

ANY COMPANY CONSIDERING a board member as its next CEO needs to think very carefully about the dangers and guidelines we've described in this article. When board-to-CEO transitions succeed, it's typically because they've taken place within a thoughtfully curated succession process that has accounted for not only board tenure, CEO experience, and industry expertise but also highly individual organizational dynamics.

It's also important to keep the bigger picture in mind. Board members should never be your default option for CEO. Effective succession strategies maximize your possible choices. When looking to hire a new CEO, companies need to tap into as broad an ecosystem of experienced senior executives as possible to identify the person best positioned to lead the organization and achieve its goals. It's a competitive world, and the person most suited to drive the company in its next phase of growth should win. In some cases, that person may already be a member of your board. ☺

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